

LEASE AGREEMENT

THIS LEASE is made on the 3rd day of February 2024

BETWEEN

WANJIRU MUTHONI KARANJA of P.O. Box 4471-00100, Nairobi (the "Landlord")

AND

OTIENO & SONS HARDWARE LIMITED, a company incorporated in Kenya under the Companies Act, 2015, of P.O. Box 118-40100, Kisumu (the "Tenant")

1. Premises

1.1 The Landlord lets to the Tenant Shop Number 4 on the ground floor of Karanja Plaza, Oginga Odinga Street, Kisumu, measuring approximately 1,200 square feet (the "Premises"), together with the right to use the shared loading bay at the rear of the building.

1.2 The Premises are let for use as a retail hardware store and for no other purpose without the Landlord's prior written consent.

2. Term

2.1 The term of this Lease is five (5) years commencing on 1st March 2024 and expiring on 28th February 2029 (the "Term").

2.2 The Tenant may renew the Lease for a further term of three (3) years by giving the Landlord not less than six (6) months' written notice before the expiry of the Term, on the same terms save for rent, which shall be reviewed under clause 3.3.

3. Rent

3.1 The Tenant shall pay rent of Kenya Shillings One Hundred and Twenty Thousand (KSh 120,000) per month, exclusive of value added tax, payable in advance on or before the 5th day of each month by bank transfer to the account notified by the Landlord in writing.

3.2 Rent not paid within seven (7) days of the due date shall attract interest at fourteen per cent (14%) per annum, calculated daily from the due date until payment.

3.3 The rent shall be reviewed upwards on each anniversary of the commencement date by seven per cent (7%) of the rent then payable.

4. Deposit

4.1 On signing, the Tenant shall pay a security deposit equal to three (3) months' rent, being KSh 360,000, which the Landlord shall hold as security for the Tenant's obligations and refund, less any lawful deductions, within thirty (30) days after the Tenant yields up the Premises.

5. Tenant's Covenants

5.1 The Tenant covenants to keep the interior of the Premises, including all fixtures, fittings, doors, windows and the shop front, in good and tenantable repair.

5.2 The Tenant shall not make any structural alteration or addition to the Premises without the Landlord's prior written consent, which shall not be unreasonably withheld.

5.3 The Tenant shall not assign, sublet or part with possession of the Premises or any part of them without the Landlord's prior written consent.

5.4 The Tenant shall pay all charges for electricity, water and refuse collection consumed at or attributable to the Premises.

6. Landlord's Covenants

6.1 The Landlord covenants that the Tenant, paying the rent and performing the covenants on its part, shall peaceably hold and enjoy the Premises during the Term without interruption by the Landlord.

6.2 The Landlord shall keep the roof, exterior walls, main drains and common parts of Karanja Plaza in good repair.

6.3 The Landlord shall insure the building against fire and the usual perils.

7. Termination

7.1 If the rent or any part of it is in arrears for twenty-one (21) days after becoming due, whether formally demanded or not, or if the Tenant breaches any covenant in this Lease and fails to remedy the breach within thirty (30) days of written notice, the Landlord may re-enter the Premises and this Lease shall determine, without prejudice to any right of action for antecedent breach.

7.2 Either party may terminate this Lease by giving the other not less than three (3) months' written notice, provided that the Tenant may not give such notice before the second anniversary of the commencement date.

8. Dispute Resolution

8.1 Any dispute arising out of this Lease shall first be referred to mediation under the rules of the Nairobi Centre for International Arbitration. If the dispute is not resolved within forty-five (45) days of the referral, either party may refer it to arbitration by a single arbitrator appointed by the Chairperson of the Chartered Institute of Arbitrators (Kenya Branch), whose award shall be final and binding.

8.2 This Lease is governed by the laws of Kenya.

9. Notices

9.1 Any notice under this Lease shall be in writing and delivered by hand or sent by registered post or by email to the addresses stated above, and shall be deemed received on delivery, three days after posting, or on the next business day after the email is sent.

SIGNED by the Landlord WANJIRU MUTHONI KARANJA in the presence of: Advocate, Kisumu

SIGNED for and on behalf of the Tenant OTIENO & SONS HARDWARE LIMITED by its Director DAVID OTIENO OCHIENG in the presence of: Advocate, Kisumu